



CHAPTER xxv.

An Act to extend the limits of supply of the South Metropolitan Gas Company to increase the capital powers of the Company and for other purposes. A.D. 1928.
[2nd July 1928.]

WHEREAS the South Metropolitan Gas Company (hereinafter called "the Company") were incorporated by an Act passed in the year one thousand eight hundred and forty-two and under the provisions of that Act and Acts subsequently passed and schemes of amalgamation confirmed by Orders in Council relating to the Company and their undertaking are supplying gas within certain parishes and places in the county of London and within parts of the counties of Surrey and Kent :

And whereas the limits of supply of the Company adjoin those of the Wandsworth Wimbledon and Epsom District Gas Company (hereinafter called "the Wandsworth Company") and it has been agreed between the Company and the Wandsworth Company that a small portion of the limits of supply of the Wandsworth Company can be more conveniently and economically supplied by the Company and the Company have executed certain works and have been affording certain supplies therein and it is expedient that the limits of supply of the Company should be extended as by this Act provided and the execution of the said works by the Company be confirmed :

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And whereas by the South Metropolitan Gas Act 1916 the capital powers of the Company were defined and by that Act and the South Metropolitan Gas Acts 1918 and 1921 the Company were authorised to raise additional capital as in those Acts mentioned by the creation and issue of South Metropolitan Gas Company's stock or of preference stock or partly by the one or partly by the other of those modes and to borrow further moneys on mortgage or by the creation and issue of debenture stock :

And whereas the Company are authorised to raise capital to the amount of seven million nine hundred and ninety-seven thousand three hundred and ninety-five pounds and to borrow on mortgage or raise by the creation of debenture stock sums not exceeding two million six hundred and twenty-nine thousand four hundred and forty-five pounds :

And whereas the Company have raised capital to the extent of seven million one hundred and nine thousand eight hundred and ninety-five pounds by the creation and issue of ordinary and preference stock and have raised by the creation and issue of debenture stock the whole of the moneys which they are authorised to borrow on mortgage or to raise by the creation and issue of debenture stock :

And whereas further capital expenditure is necessary for the general purposes of the undertaking of the Company and it is expedient that the Company should be authorised to raise additional capital and loan capital :

And whereas by the South Metropolitan Gas Act 1920 it is provided that (except as is by the said Act otherwise provided) the Company shall not in any one year declare any larger dividends on the ordinary stock of the Company than a dividend at the rate of five pounds in respect of every one hundred pounds of the said stock issued before the passing of that Act and for the time being paid up and a dividend at the rate of six pounds in respect of every one hundred pounds of such stock issued after the passing of that Act and for the time being paid up :

And whereas the Company have not since the passing of that Act issued any ordinary stock and it would be of advantage that the Company should be able

to issue capital which they may hereafter issue as stock of the same denomination as the existing ordinary stock of the Company and it is accordingly expedient that the said provisions of the said Act of 1920 should be amended : A.D. 1928.

And whereas it is expedient that other powers should be conferred upon the Company and that such other provisions should be made as are in this Act contained :

And whereas the objects aforesaid cannot be attained without the authority of Parliament :

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say) :—

1. This Act may be cited as the South Metro- Short title.
politan Gas Act 1928.

2. The provisions of the Companies Clauses Con- Incorpora-
solidation Act 1845 with respect to the following matters tion of
(namely) :— parts of
Companies
Clauses
Acts.

The distribution of the capital of the Company into shares ;

The transfer or transmission of shares ;

The remedies of creditors of the Company against the shareholders ;

The borrowing of money by the Company on mortgage or bond ;

The making of dividends ;

The giving of notices ; and

The provision to be made for affording access to the special Act by all parties interested ;

Part I. (relating to cancellation and surrender of shares)
Part II. (relating to additional capital except the provisions thereof which limit the dividend on preference capital) and Part III. (relating to debenture stock) of the Companies Clauses Act 1863 as amended by subsequent Acts shall (subject to the provisions of this Act) extend and apply to the Company and any capital by this Act authorised to be raised.

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Interpreta-
tion.

3. In this Act unless there be something in the subject or context repugnant to such construction the several words and expressions to which meanings are assigned by the Acts partially incorporated herewith have the same respective meanings And—

“the Company” means the South Metropolitan Gas Company;

“the Act of 1916” means the South Metropolitan Gas Act 1916;

“the Act of 1918” means the South Metropolitan Gas Act 1918;

“the Act of 1920” means the South Metropolitan Gas Act 1920;

“the Act of 1925” means the South Metropolitan Gas Act 1925;

“the existing limits of supply” means the limits of supply of the Company as existing immediately before the passing of this Act;

“the added limits of supply” means the area added by this Act to the existing limits of supply;

“the limits of supply” means the limits of the Company from time to time for the supply of gas;

“the directors” means the directors of the Company.

Extension
of limits of
supply.

4.—(1) Subject to the provisions of this Act the limits within which the Company may supply gas shall extend to and include in addition to the existing limits of supply the area following (that is to say):—

In the county of London—

So much of the metropolitan borough of Wandsworth as is included within an imaginary line commencing at the point of junction of Streatham Vale with Manor Road drawn thence in a straight line in a northerly direction for a distance of 540 yards or thereabouts to a point on the south-easterly side of the Southern Railway 433 yards or thereabouts measured along that railway in a south-westerly direction from the south-eastern corner of the bridge carrying the said railway over Eardley Road drawn thence

along the south-easterly side of the said railway to a point thereon 1,217 yards or thereabouts measured in a south-westerly direction from the said south-eastern corner of the said bridge and drawn thence along the boundary between the counties of London and Surrey to the point of commencement:

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In the county of Surrey—

So much of the urban district of Mitcham as is included within an imaginary line commencing at a point on the south-eastern side of the Southern Railway 1,217 yards or thereabouts measured along that railway in a south-westerly direction from the south-eastern corner of the said bridge carrying the said railway over Eardley Road drawn thence along the south-eastern side of the said railway to the south-west corner of the enclosure numbered 32 in the said urban district on the $\frac{1}{2500}$ Ordnance map (Surrey sheet VII—16 edition 1913) drawn thence along the southern boundary of the said enclosure drawn thence for a distance of 60 yards or thereabouts along the north-easterly side of Grove Road drawn thence for a distance of 16 yards or thereabouts in a north-easterly direction drawn thence at a distance of 16 yards or thereabouts from and parallel to the north-easterly side of Grove Road to Rowan Road drawn thence for a distance of 90 yards or thereabouts along the westerly side of Rowan Road drawn thence in a south-easterly direction across Rowan Road to a point on the easterly side of Rowan Road 30 yards or thereabouts north of the junction of Rowan Road with Long Thornton Road drawn thence along the easterly side of Rowan Road to its junction with Manor Road drawn thence along the north side of Manor Road to its junction with Leonard Road drawn thence along the north-westerly side of Leonard Road to its junction with Grove Road and drawn thence along the boundary between the counties of London and Surrey to the said last-mentioned point of commencement;

A.D. 1928. — and which said area hereinbefore described is more particularly delineated and edged pink on a map signed in triplicate by Sir Arthur Shirley Benn the Chairman of the Committee of the House of Commons to which the Bill for this Act was referred and one copy of which map is deposited in the Parliament Office of the House of Lords one copy in the Committee and Private Bill Office of the House of Commons and one copy at the chief office of the Company.

In the case of there being any difference between the boundaries of the said area as hereinbefore described and delineated on the said map the said map shall prevail.

(2) The Company may within the added limits of supply exercise the powers rights privileges and authorities and shall be subject to the duties and obligations which they may exercise and are subject to within the existing limits of supply.

(3) The powers and obligations of the Wandsworth Wimbledon and Epsom District Gas Company (in this section called "the Wandsworth Company") with reference to the supply of gas within the added limits of supply shall absolutely cease and determine.

(4) Notwithstanding anything contained in this section the Wandsworth Company may for the purpose of supplying gas to any consumers of the Wandsworth Company outside the added limits of supply maintain repair and renew the existing main of the Wandsworth Company in Grove Road and any continuation thereof within the added limits of supply and may lay down and place within the added limits of supply pipes and other works and from time to time repair alter or remove the same and may for the purpose aforesaid exercise all such powers as they would have been entitled to do if the added limits of supply had not been transferred from the Wandsworth Company to the Company.

Additional
capital.

5. The Company may from time to time issue additional nominal capital to such amount as shall be sufficient to produce after taking into account the premiums or discounts (if any) which may be obtained or allowed on the issue or re-issue thereof any sum not exceeding in the whole one million pounds by the creation and issue of further ordinary or preference stock or partly by the one and partly by the other of

those modes Provided that it shall not be lawful for the Company to create and issue under the powers of this section any greater nominal amount of capital than shall be sufficient after taking into account premiums and discounts (if any) as aforesaid to produce the sum of one million pounds. A.D. 1928.

6. The Company may borrow on mortgage of their undertaking in addition to any other moneys which they are by this or any other Act authorised to raise any sum or sums not exceeding in the whole one million pounds and notwithstanding anything contained in the fortieth section of the Companies Clauses Consolidation Act 1845 no such certificate of a justice of the peace as is referred to in that section shall be requisite as a condition of any such borrowing. Power to borrow.

7. The Company may in respect of the powers of borrowing conferred by the section of this Act of which the marginal note is "Power to borrow" subject to the provisions of this Act and of Part III. of the Companies Clauses Act 1863 create and issue debenture stock but notwithstanding anything contained in the said Part III. the interest of all debenture stock and of all mortgages or debentures created and issued or granted by the Company whether before or after the passing of this Act under this Act or any previous or subsequent Act and for the time being outstanding shall subject to the provisions of any subsequent Act rank *pari passu* (without respect to the dates of the securities or of the Acts of Parliament or resolutions by which the stock mortgages or debentures were authorised) and shall have priority over all principal moneys secured by such mortgages debentures or debenture stock. Debenture stock.

8.—(1) The Company may from time to time create as redeemable preference stock and the directors may from time to time without any further authority than is given by this section raise by the issue of such redeemable preference stock any portion of the capital which the Company may be authorised under this Act to raise as preference capital. Redeemable preference and debenture stock.

(2) The Company may from time to time create as redeemable debentures or redeemable debenture stock and the directors may from time to time without any further authority than is given by this section raise by the

A.D. 1928. issue of redeemable debentures or redeemable debenture stock any portion of the capital which the Company may be authorised under this Act to raise by the issue of debentures or debenture stock.

(3) The provisions of section 11 (Company may issue redeemable preference stock or redeemable debenture stock) of the Act of 1916 and of section 10 (Amending section 11 of Act of 1916) of the Act of 1918 as amended by section 13 (Amendment of section 10 of Act of 1918) of the South Metropolitan Gas Act 1921 and all powers thereby conferred upon the Company or the directors shall extend and apply to any redeemable preference stock or redeemable debentures or redeemable debenture stock created and issued under the powers of this section.

Amendment
of Act of
1920.

9.—(1) Section 18 (Limitation of dividends) of the Act of 1920 shall cease to have effect in so far as it provides for a higher rate of dividend on stock issued after than on stock issued before the passing of that Act and accordingly that section shall be read and construed as if—

- (a) the words “any larger dividend” were substituted for the words “any larger dividends”;
- (b) the words “issued before the passing of this Act
“and for the time being paid up and a dividend
“at the rate of six pounds in respect of every
“one hundred pounds of the said stock issued
“after the passing of this Act and” were omitted therefrom;
- (c) the words “the said rate of dividend is in this Act referred to as ‘the authorised rate.’” were substituted for the words “the said rates of
“dividend are in this Act referred to as ‘the
“authorised rates.’”

(2) The words “authorised rate” shall be substituted for the words “authorised rates” wherever the same occur in the Act of 1920.

Dividend on
preference
capital.

10. Notwithstanding anything contained in the Companies Clauses Act 1863 or any other Act any capital which may be issued under the powers of the Act of 1916 the Act of 1918 or this Act as preference capital may bear such a rate of interest as the directors may determine at the date or respective dates of the issue thereof.

11. Section 10 (As to mode of issue of stock or debenture stock) of the Act of 1916 shall be read and construed as if the period of twenty-eight days referred to in subsection (4) of that section were fourteen days and as if there were substituted for subsection (6) of that section the following provision (that is to say):—

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Amendment
of section
10 of Act of
1916.

- (6) Any stock or debenture stock which has been offered for sale in accordance with (a) subsections (2) (3) and (5) or (b) subsections (3) and (5) or (c) subsection (3) of this section and is not sold may be disposed of for the purpose of realising the best price obtainable at such price and in such manner as the directors may determine.

12.—(1) All stock or debenture stock created under the powers of this Act shall except so far as is otherwise expressly provided by this Act or by section 11 (Company may issue redeemable preference stock or redeemable debenture stock) of the Act of 1916 be issued in accordance with the terms of section 10 (As to mode of issue of stock or debenture stock) of the Act of 1916 as amended by this Act.

As to mode
of issue of
stock or
debenture
stock.

(2) The provisions of the said section 10 shall not apply to any stock issued—

- (a) for the purpose of any co-partnership scheme of the company; or
(b) for the purpose of complying with any provisions contained in any agreement made under the Act of 1925 between the Company and any other company authorised to supply gas under parliamentary powers and approved by the Board of Trade as required by the provisions of that Act;

and the directors may without any other authority than is given by this section issue any such stock which may be required for either of the said purposes :

Provided that any stock issued for the purpose of any such co-partnership scheme shall be issued at as near as may be the average market price of such stock in the period of two weeks immediately preceding the issue thereof and that in no case shall the price at which such stock shall be issued be lower than five per centum below such market price and that to ascertain the average

A.D. 1928. — market price of the stock for the purposes of this subsection the mean daily prices recorded in the London Stock Exchange daily official list shall be taken for the said period of two weeks.

Stock in further capital to be part of general capital.

13. All stock issued by the Company under the Act of 1916 the Act of 1918 the Act of 1921 or this Act shall be part of the general capital of the Company and save as is otherwise provided by this Act the holders thereof respectively shall be entitled to the like rights of voting and any other rights qualifications and privileges in proportion to the amount of their stock and be subject to the like provisions and liabilities as the holders of other stock of the Company of the same class and description.

Restriction as to votes for preference stock.

14. Except as otherwise expressly provided by the resolution creating the same no person shall be entitled to vote in respect of any stock issued under or by virtue of the powers conferred by this Act to which a preferential dividend shall be assigned.

Minimum holding of stock.

15.—(1) All ordinary stock of the Company shall be issued and be held in amounts of one pound or of any multiple of one pound and not otherwise and the Company shall not be under any obligation to register a transfer of such stock which would reduce the holding of the transferor below or make the holding of the transferee less than one pound of such stock.

(2) Notice of this enactment shall be stated on all certificates of such stock issued after the passing of this Act.

Application of money.

16. Any moneys raised under this Act including premiums shall be applied only to purposes to which capital is properly applicable and any sum of money which may arise by way of premium from the issue of stock under the provisions of this Act shall not be considered as part of the capital of the Company entitled to dividend.

Subscription for shares or loans to other companies.

17. The Company may subscribe for purchase hold and dispose of shares stock or securities in any company with whose proprietors the Company may be authorised under section 6 (Loans to other companies and exchange of securities) of the Act of 1925 to exchange stocks shares or securities.

18.—(1) Every consumer of gas supplied by the Company who uses air under pressure (in this section referred to as “high-pressure air”) for or in connection with the consumption of such gas shall if required to do so by the Company provide and fix in a suitable position and use an efficient valve or other appliance for preventing the admission of such air into the service pipe or any main through which such gas is supplied and shall at all times at his own expense keep in proper order and repair any such valve or other appliance as aforesaid which shall have been provided and fixed whether upon such requirement or otherwise.

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Valves for
high-pres-
sure air or
gas.

(2) Every consumer of gas supplied by the Company who uses a gas compressor for increasing the pressure of gas after it has passed through the meter shall if required to do so by the Company provide and fix in a suitable position and use an efficient valve or other approved appliance for preventing the pressure in the meter being so reduced as to damage the meter or the pressure in the main being so reduced as to affect the supply of gas to other consumers.

(3) It shall not be lawful for any consumer after the receipt by him of a notice from the Company of the effect of the provisions of this section to commence to use high-pressure air or a gas compressor unless and until he shall have given to the Company not less than fourteen days’ previous notice in writing of his intention to do so.

(4) It shall not be lawful for any consumer to continue to use high-pressure air or a gas compressor after the expiration of fourteen days from the receipt by him from the Company of a notice in writing stating the effect of the provisions of this section and requiring a consumer to fix such a valve or other appliance as aforesaid unless and until he shall have complied with such requirement.

(5) If any consumer shall fail to comply with any requirement of the Company or any obligation under this section the Company may cease to supply gas to him and shall not be under any obligation to resume such supply until the default shall have been remedied to their satisfaction.

(6) The Company shall have access at all reasonable times to all premises supplied by them with gas in or

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upon which high-pressure air or a gas compressor is used or the Company have reason to believe that high-pressure air or a gas compressor is or may at the time be used in order to ascertain whether any such valve or appliance as aforesaid is efficient or is in proper order and repair or whether such valve or appliance is provided and fixed where necessary.

(7) The Company shall be at liberty to take off inspect remove test and replace any such valve or other appliance as aforesaid such taking off inspecting removing testing and replacing to be done at the expense of the Company if the valve or other appliance be found in proper order but otherwise at the expense of the consumer.

Power to lay
pipes in
private
streets.

19. The Company may on the application of the owner or occupier of any premises within the limits of supply abutting on or being erected in any street laid out but not dedicated to public use supply those premises with gas and for that purpose the Gasworks Clauses Act 1847 shall apply as if section 7 of that Act were excepted from incorporation in this Act :

Provided that this section in its application to the Page Housing Estate of the Woolwich Borough Council shall be read and have effect as if the words "or occupier" were omitted therefrom :

Provided also that the Company shall not exercise their powers under this section with respect to any street belonging to or maintainable by a railway company except with the consent of such company The said consent shall not be unreasonably withheld and if any difference arises between any railway company and the Company as to whether such consent is in any case unreasonably withheld the difference shall be determined by an arbitrator to be agreed upon by such railway company and the Company or failing agreement to be appointed on the application of either party by the President of the Institution of Civil Engineers In carrying out any works authorised by this section the Company shall not unreasonably obstruct or interfere with the convenient access to any such street.

For pre-
vention of
improper
use.

20.—(1) If any person supplied with gas by the Company uses or deals with the same so as to interfere unduly or improperly with the efficient supply of gas by

the Company to any other person the Company may if they think fit cease to supply gas to such first-mentioned person. A.D. 1928. —

(2) Any person supplied with gas by the Company who wilfully uses the same for a purpose other than the purpose for which the same is supplied shall be liable to a penalty not exceeding five pounds and to a further penalty of five pounds for each day on which such offence is continued by such person after conviction therefor.

21. The provisions of section 7 (As to certain compensation on amalgamation of companies) of the Act of 1925 (which relate to compensation in certain events to directors auditors officers or servants retiring or suffering loss of employment or emoluments on or by reason of the amalgamation of the undertaking of the Company with or the purchase by the Company of any undertaking for the supply of gas in any limits of supply which adjoin or are contiguous to those of the Company) shall extend and apply to any agreement entered into under the provisions of the Act of 1925 as if such agreement were a scheme for such an amalgamation or purchase as is referred to in that section. Amendment of section 7 of Act of 1925.

22. The Company may apply to any purposes of any Act of the Company to which capital is properly applicable any moneys which they are authorised to raise by the Act of 1916 the Act of 1918 the Act of 1921 or this Act. Application of funds.

23. Save as otherwise by this Act expressly provided all offences against this Act and all penalties forfeitures costs and expenses imposed or recoverable under this Act may be prosecuted and recovered in a summary manner Provided that costs or expenses except such as are recoverable along with a penalty shall not be recovered as penalties but may be recovered summarily as civil debts. Recovery of penalties &c.

24. For the protection of the Metropolitan Water Board (in this section referred to as "the board") the following provisions shall (unless otherwise agreed in writing between the board on the one hand and the Company on the other hand) have effect (that is to say) :— For protection of Metropolitan Water Board.

Before the Company shall commence to lay or place any mains or pipes other than service pipes in

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any street or road in the added limits of supply within six feet of any mains pipes culverts valves hydrants syphons plugs or other works (in this section referred to as "apparatus") of the board they shall deliver to the board for the approval of the engineer of the board plans and sections showing the position in which it is proposed to lay or place such mains or pipes and if such engineer shall signify his approval of such plans and sections or shall fail for a period of fourteen days after such submission to signify his approval or disapproval thereof the work shall only be carried out by the Company in accordance with such plans and sections Provided that if such engineer within the said period shall have expressed his disapproval of the said plans and sections the Company shall not commence to lay or place such mains or pipes unless and until agreement upon an alternative scheme has been reached between the parties or plans and sections showing the position in which such mains or pipes are to be laid shall have been settled by an engineer to be agreed upon or failing such agreement to be appointed upon the application of either of the parties in difference by the President of the Institution of Civil Engineers.

Costs of
Act.

25. All costs charges and expenses of and incident to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company.

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